

Asia Tech Hardware

Sunny Optical Technology Group Co Ltd

Rating

Outperform

Price Target

📈 2382.HK

94.00 HKD



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Sunny Optical 1H26: product diversification drove the beat

1H26 results demonstrate operating resilience. Total revenue grew 11% YoY, 4.4% above consensus. Gross margin declined 33bps YoY to 19.5%, but exceeded consensus by 51bps. Tight cost control drove 26% YoY operating profit growth and EPS 16% above consensus.

Pan-IoT products was the main driver for the beat. “Other segment” revenue grew nearly 90% YoY, with a 34% gross margin, accounting for 18% of company revenue and 33% of gross profit. Its product mix is broad, spanning optics and modules for handheld imaging, robotic lawn mowers, warehouse robotics, as well as microscopic instruments, etc. We forecast 45% + growth in 2026, followed by around 10% in 2027–28. Similar to [Largan](#), Sunny is exploring **optical connectivity** in AI datacenters. We expect clearer visibility on sampling, customer qualification and mass-production timing in 2027, with initial revenue contribution from 2028.

The handset business is likely to remain under pressure over the next 12 months, but Sunny’s business is relatively stable thanks to new project wins. Although industry shipments declined only by a mid-single-digit percentage in 1H26, component suppliers faced steeper declines amid inventory digestion. Sunny nevertheless maintained broadly flat handset revenue in 1H26, which we expect to continue in 2H, supported by new Apple and Huawei project wins. We lower our 2026 smartphone-module gross margin forecast to 7.3% and handset segment gross margin to 12.5%. Despite near-term pressure, we expect handset module revenue to recover by 10-15% annually in 2027-2028 driven by new Apple product.

We forecast Sunny Optical to deliver 11%/24% revenue/OP CAGR from 2025-28. Compared to previous model, we raise our 2026 revenue forecast on stronger Pan-IoT growth and better-than-expected XR revenue. While smartphones remain weak near term, a growing mix of auto and “Other” products should support company gross margin at around 20% next year. Excluding 2025 one-offs, we forecast 18% EPS CAGR through 2028. **Overall, Sunny has demonstrated resilient execution despite a soft handset backdrop. A normalization in memory-price inflation should also support improving consumer electronics sentiment. We see attractive long-term upside.**

Investment Implications

We set a HK\$94 target price using a P/E multiple of 18x against our 2027 EPS estimate of RMB4.5. Outperform

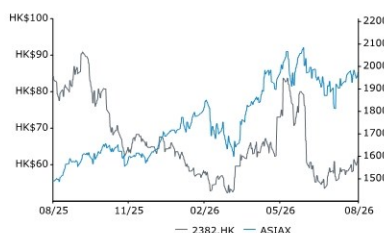
Reported EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
2382.HK (CNY)	4.25	3.62	4.47	Revenues (M)	43,229	47,608	52,446	--	Reported P/E (x)	13.0	15.2	12.3
OLD	--	3.44	4.52	EBIT Margin (%)	8.1	8.3	10.0	--	EV/EBIT (x)	8.4	9.3	8.0
									PEG Reported (x)	0.2	(1.0)	0.5

Source: Bloomberg, Bernstein estimates and analysis.

Close Date	27 Aug 2026			
2382.HK Close Price (HKD)	64.30			
Price Target (HKD)	94.00			
Upside/(Downside)	46%			
52-Week Range	91.40/51.50			
ASIAX	1,965.49			
FYE	Dec			
Div Yield	1.9%			
Market Cap (HKD) (M)	69,377			
EV (HKD) (M)	53,133			
Performance	YTD	1M	6M	12M
Absolute (%)	(1.9)	9.6	10.4	(23.1)
ASIAX (%)	20.2	3.5	6.9	31.0
Relative (%)	(22.1)	6.1	3.5	(54.1)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



DETAILS

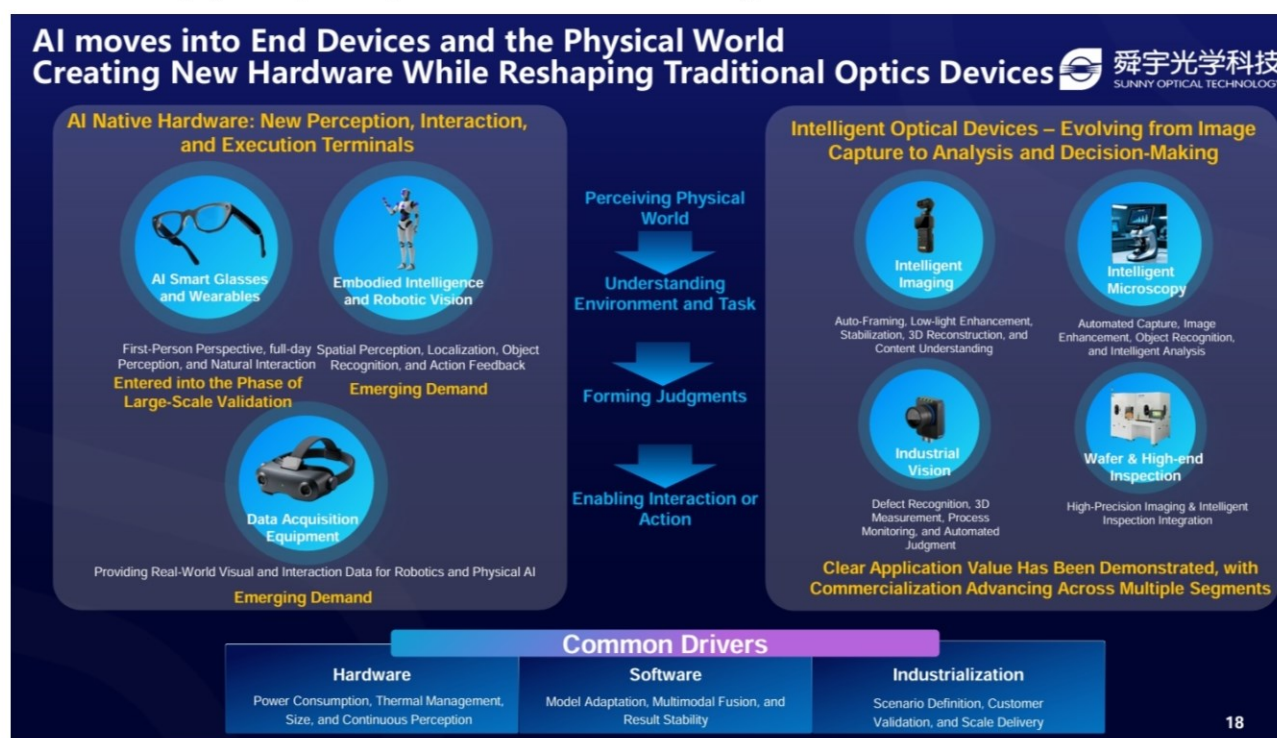
2Q26 EARNINGS RESULTS

EXHIBIT 1: Sunny Optical's 1H26 results are better than feared

(RMB in Millions)	1H25 Actual	1H26 Actual	YoY	Bernstein	Consensus	Difference vs.	
						Bernstein	Consensus
Revenue	19,652	21,906	11.5%	21,168	20,983	3.5%	4.4%
Gross Profit	3,894	4,269	9.6%	3,945	3,982	8.2%	7.2%
Margin	19.8%	19.5%	-0.3%	18.6%	19.0%	0.9%	0.5%
Operating Profit	1,484	1,864	25.6%	1,485	1,668	25.6%	11.8%
Margin	7.6%	8.5%	1.0%	7.0%	7.9%	1.5%	0.6%
Profit Attributable to Shareholders	1,646	1,808	10%	1,631	1,681	10.9%	7.5%
Margin	8.4%	8.3%	-0.1%	7.7%	8.0%	0.6%	0.2%
EPS (RMB)	1.5	1.7	11.3%	1.5	1.5	12.5%	15.5%

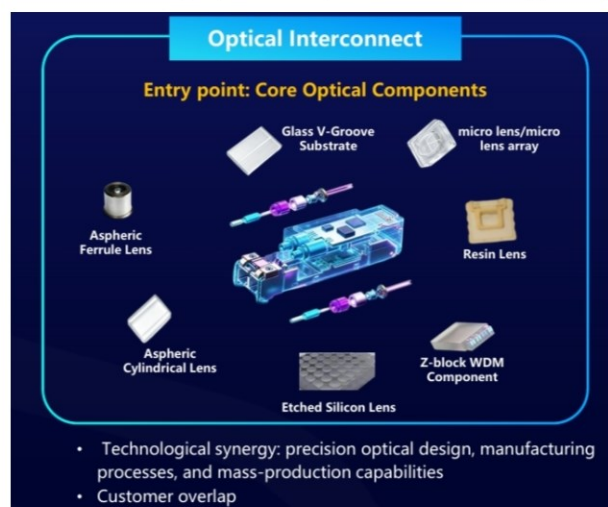
Source: Company data, Bloomberg, Bernstein analysis

EXHIBIT 2: Sunny Optical's product portfolios of XR and Pan-IoT segments



Source: Company presentation

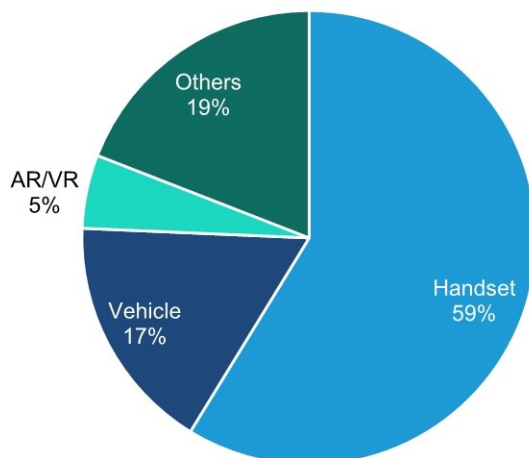
EXHIBIT 3: Sunny's potential production offerings in optical interconnect business



Source: Company presentation

EXHIBIT 4: "Other segment" grew c.90% YoY in 1H26...

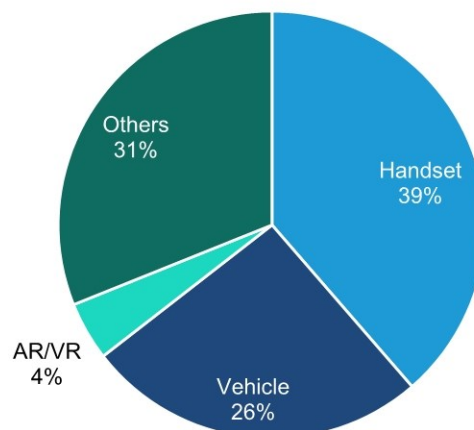
Sunny Optical revenue mix (2026E)



Source: Company data, Bernstein analysis

EXHIBIT 5: ...and accounts for 1/3 of gross profit

Sunny Optical gross profit mix (2026E)

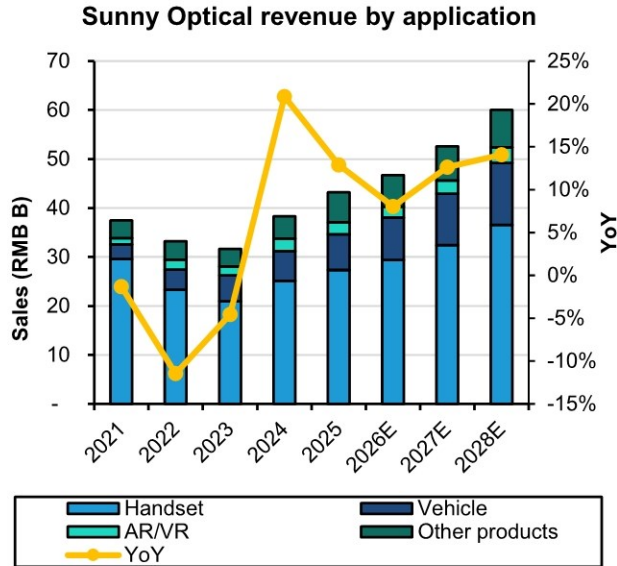


Source: Company data, Bernstein analysis

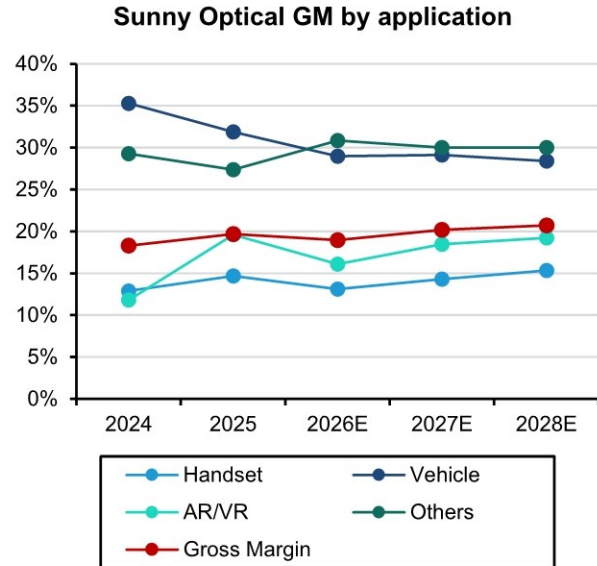
MODEL UPDATE

We model Sunny Optical to grow its revenue/operating profit by 11%/24% CAGR from 2025 to 2028. Compared to previous model, we revise up revenue growth this year driven by Pan-IoT products growth and better-than-expected XR revenue. While smartphone market is likely to be soft in the next 12-month, pressing smartphone gross margin to mid-single-digit based on our estimates, we believe the increasing revenue mix from auto and Pan-IoT products that carry c.30% GM will support company GM c. 20% next year.

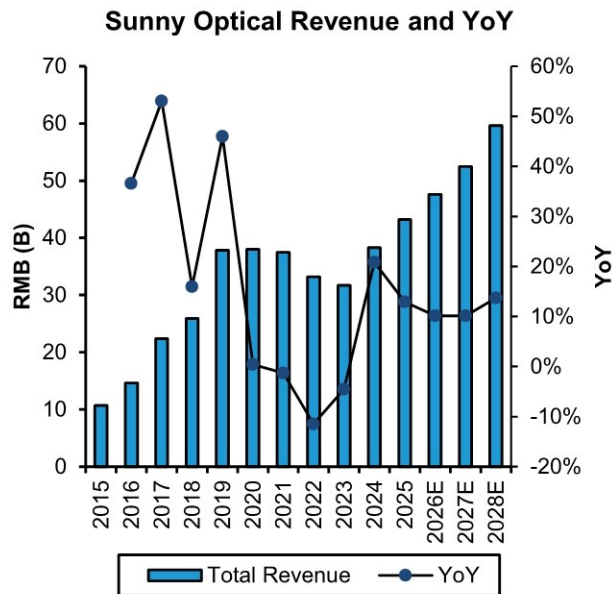
Excluding one-off investment gain of RMB 919M last year, we model EPS to grow at an **18% CAGR** till 2028. We maintained our EPS in 2027 largely unchanged. We apply 18x P/E to 2027 EPS of RMB 4.5, and maintain price target of HK\$94 (RMB/HKD=1.17). (Exhibit 6 - Exhibit 12) **Outperform.**

EXHIBIT 6: We expect Sunny Optical to grow at 11% CAGR in 2026-28

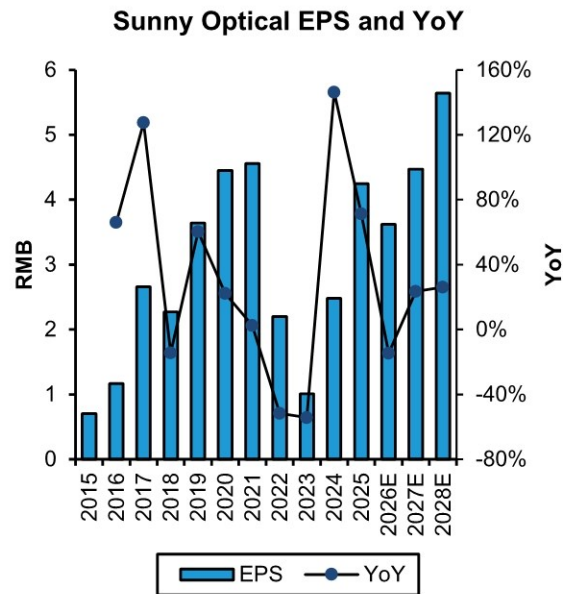
Source: Company reports, Bernstein analysis and estimates

EXHIBIT 7: We model Sunny Optical's GM to decline by 70bps in 2026 and then up by 120bps in 2027

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 8: Overall we estimate Sunny Optical will achieve 11% revenue CAGR from 2025 to 2028...

Source: Company disclosure, Bernstein estimates and analysis

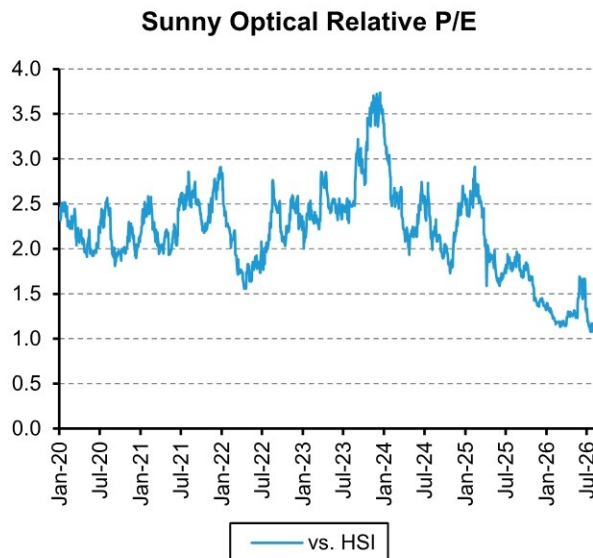
EXHIBIT 9: ... and have 9% EPS CAGR in EPS over the same period

Source: Company disclosure, Bernstein estimates and analysis

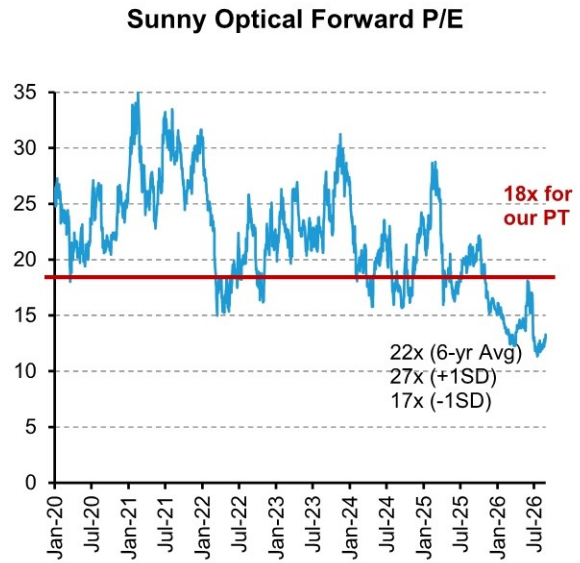
EXHIBIT 10: We are modestly above consensus by in 2027-28

Comparison Table	2026E	2027E	2028E
Revenue (RMB B)			
Bernstein Old	46.7	52.6	60.0
YoY	8%	13%	14%
Bernstein	47.6	52.4	59.6
YoY	10%	10%	14%
Consensus	46.6	51.9	58.4
YoY	8%	11%	12%
New vs. old	2%	0%	-1%
BERN vs. consensus	2%	1%	2%
GM			
Bernstein Old	18.9%	19.9%	20.4%
Bernstein	19.0%	20.2%	20.7%
Consensus	19.7%	20.3%	21.1%
New vs. old	0.1%	0.3%	0.3%
BERN vs. consensus	-0.7%	-0.1%	-0.4%
OPM			
Bernstein Old	7.9%	9.6%	10.9%
Bernstein	8.3%	10.0%	11.2%
Consensus	8.9%	9.7%	10.5%
New vs. old	0.3%	0.3%	0.3%
BERN vs. consensus	-0.6%	0.3%	0.7%
EPS (RMB)			
Bernstein Old	3.4	4.5	5.7
YoY	-19%	31%	26%
Bernstein	3.6	4.5	5.6
YoY	-15%	23%	26%
Consensus	3.8	4.4	5.4
YoY	11%	16%	23%
New vs. old	5%	-1%	-1%
BERN vs. consensus	-5%	1%	4%

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 12: Relative P/E against HSI index is at the lowest range compared to past 5 years

Source: Bloomberg and Bernstein analysis

EXHIBIT 11: We set Sunny's target P/E at 18x

Source: Bloomberg, Bernstein estimates and analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 13: Sunny Optical financial projections

RMB in Millions	2022	2023	2024	2025	2026E	2027E	2028E
Income Statement							
Net Sales	33,197	31,681	38,294	43,229	47,608	52,446	59,637
Gross Profit	6,605	4,590	7,006	8,516	9,025	10,587	12,358
SG&A Expense	1,281	1,425	1,839	1,763	1,740	1,809	1,882
R&D Expense	2,803	2,566	2,924	3,259	3,357	3,558	3,772
EBIT	2,520	599	2,243	3,494	3,929	5,219	6,704
EBITDA	4,400	2,547	4,344	5,726	6,355	7,507	9,062
Pretax Income	2,715	1,358	3,144	5,416	4,736	5,777	7,310
Tax	241	208	367	609	586	722	913
Net Income	2,408	1,099	2,699	4,639	3,907	4,823	6,084
Earnings Per Share (RMB) (Diluted)	2.2	1.0	2.5	4.2	3.6	4.5	5.6
Margin Analysis							
Gross Profit	19.9%	14.5%	18.3%	19.7%	19.0%	20.2%	20.7%
EBIT	7.6%	1.9%	5.9%	8.1%	8.3%	10.0%	11.2%
EBITDA	13.3%	8.0%	11.3%	13.2%	13.3%	14.3%	15.2%
Net Income	7.3%	3.5%	7.0%	10.7%	8.2%	9.2%	10.2%
Sequential Growth							
Net Sales	-11.5%	-4.6%	20.9%	12.9%	10.1%	10.2%	13.7%
Gross Profit	-24.4%	-30.5%	52.6%	21.6%	6.0%	17.3%	16.7%
EBIT	-50.2%	-76.2%	274.5%	55.8%	12.4%	32.8%	28.5%
Net Income	-51.7%	-54.3%	145.5%	71.9%	-15.8%	23.4%	26.1%
Earnings Per Share	-51.7%	-54.3%	146.3%	71.4%	-14.7%	23.4%	26.1%
Balance Sheet							
Cash and Cash Equivalents	7,033	13,085	4,509	7,482	5,430	6,347	8,120
Accounts Receivable	7,762	8,485	10,078	12,072	12,147	12,718	13,570
Inventory	4,721	5,137	5,870	7,180	7,759	8,516	8,540
Net Fixed Assets	10,120	9,927	10,525	9,818	10,893	11,228	11,852
Total Assets	43,001	50,297	53,807	59,215	58,210	61,193	65,247
Accounts Payable	12,927	20,336	21,035	22,001	18,770	18,040	17,483
Total Debt	2,020	5,562	5,826	3,176	3,093	3,330	3,559
Total Equity	22,182	22,882	25,293	29,764	31,548	34,537	38,325
Cash Flow							
Cash Flow From Operations	7,377	2,665	3,455	6,080	7,474	5,230	7,098
Cash Flow From Investments	(3,834)	(1,488)	(10,437)	(999)	(3,308)	(2,480)	(2,944)
Cash Flow From Financing	(2,159)	4,858	(1,574)	(2,094)	(6,128)	(1,833)	(2,380)
Depreciation & Amortization	1,879	1,948	2,101	2,231	2,426	2,288	2,358
Capex	(3,047)	(2,245)	(2,084)	(2,894)	(3,025)	(2,622)	(2,982)
FCF	4,912	159	714	2,798	(284)	2,045	2,631
As % of EBITDA	112%	6%	16%	49%	-4%	27%	29%
Key Financial Metrics							
ROE	11.4%	5.0%	11.4%	17.2%	13.0%	14.9%	17.0%
ROA	6.1%	2.5%	5.3%	8.5%	7.1%	8.5%	10.1%
Debt / Equity	9.1%	24.3%	23.0%	10.7%	9.8%	9.6%	9.3%
Net Debt / Equity	-22.6%	-32.9%	5.2%	-14.5%	-7.4%	-8.7%	-11.9%
Debt / Capital	8.3%	19.6%	18.7%	9.6%	8.9%	8.8%	8.5%
Dividend Per Share (RMB)	1.0	0.5	0.2	0.5	1.1	0.7	0.9
Dividend Payout Ratio	21.2%	21.0%	20.9%	20.3%	25.3%	20.6%	20.6%

Source: Company reports, Bernstein analysis and estimates

BERNSTEIN TICKER TABLE

			27 Aug 2026	TTM		Reported EPS				Reported P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
2382.HK (Sunny Optical)	O	HKD	64.30	94.00	(54.1)%	CNY	4.25	3.62	4.47	13.0	15.2	12.3
OLD								3.44	4.52			
ASIA			1,965.49									

ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

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VALUATION METHODOLOGY**Sunny Optical Technology Group Co Ltd**

We set a HK\$94 target price using a P/E multiple of 18x against our 2027 EPS estimate of RMB4.5

RISKS**Sunny Optical Technology Group Co Ltd**

Downside risks to our target price for Sunny Optical include:

- Stronger-than-expected margin pressure due to memory price hike
- Weaker-than-expected Android phone market
- Slower-than-expected pace of ADAS penetration worldwide as well as other technological improvement for auto camera
- Slower-than-expected AR/VR adoption globally

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors

on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

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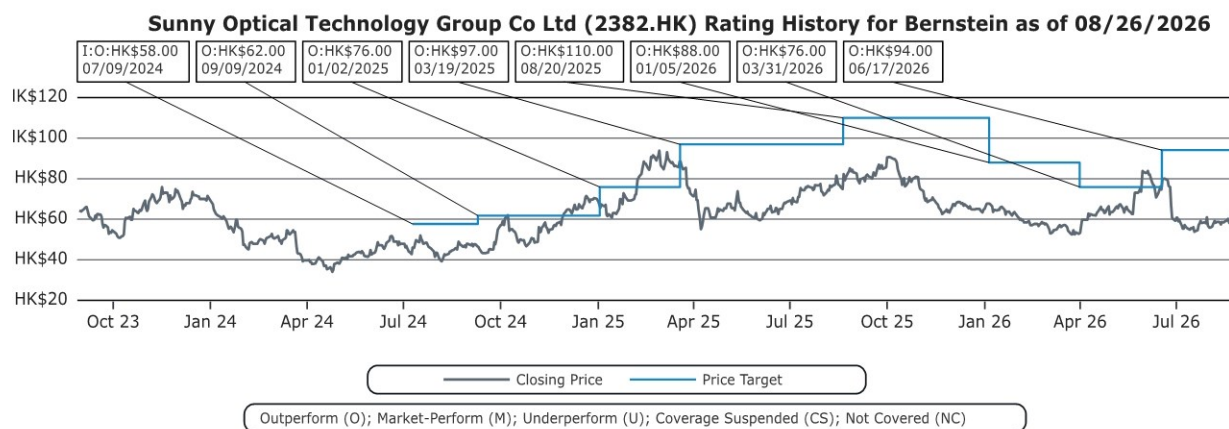
DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.

As of June 30, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY



All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

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